5. **Examine Minutes of Board of Directors:** Auditor should examine Minutes of the Board of Directors meeting to verify directors approval for utilizing the reserve amount.

2. SPECIFIC RESERVE



A reserve which is created for the purpose of providing for losses and contingencies which are known or expected to occur at a future date is called as a Specific Reserve. In simple words, it is a reserve created out of profit or loss of a company for a specific purpose. For example, Dividend Equalization Reserve, Investment Fluctuation Reserve, Reserve for redemption of Debentures, Plant Replacement Reserve etc.

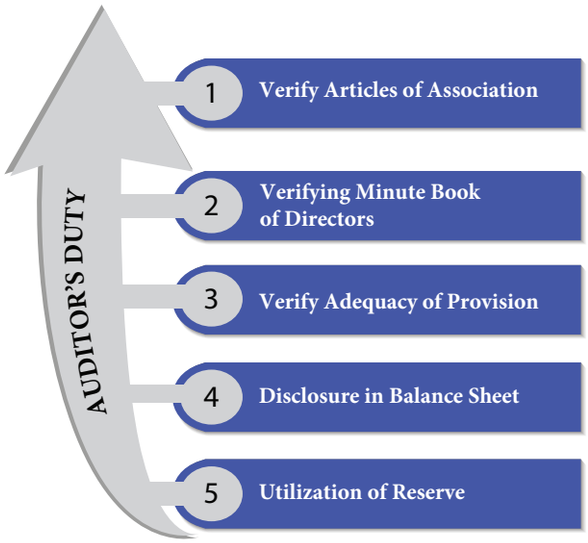
Specific Reserve is not represented by any asset and therefore it is not available for distribution amongst the shareholders. The reserve must be created irrespective of profit or loss involved in the business.

Objects of creating Specific Reserve

The reserve is created with a definite object to:

- Meet a known loss, such as depreciation, heavy repairs and renewals etc.
- Meet an expected contingency such as, doubtful debts, discount on debtors, liability for a disputed claim, contingency under Workmen's Compensation Act, etc.
- Meet an outstanding liability for expenses already incurred such as, salaries and wages, commission, income tax and other outstanding expenses.

AUDITOR'S DUTY



1. **Verify Articles of Association:** It is the duty of the auditor to verify the Articles of Association to check whether the amount appropriated from profit to specific reserve is duly complied.
2. **Verifying Minute Book of Board meeting:** The auditor should ensure that profits are appropriated according to the board of directors decision by verifying the Minutes book of the Board meeting.
3. **Verify Adequacy of Provision:** Auditor should ensure that adequate provision has been created. In case, the amount created is not adequate, he should insist the management to increase the provision. Otherwise, he should disclose the same in the audit report.
4. **Disclosure in Balance Sheet:** The auditor should see whether provisions are properly shown on the liabilities side of the Balance Sheet.

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